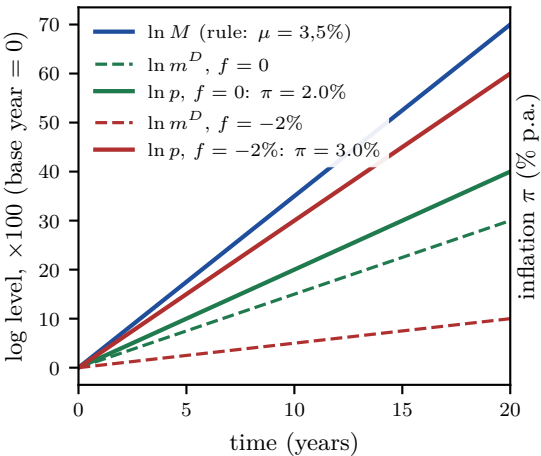


(i) p is the residual: $\pi = \mu - \frac{1}{2}(g + f)$



(ii) payments innovation is inflationary under a fixed μ

